start the new year with a plan that outlines a variety of investment goals. These goals may be the product of a couple of days of aggressive planning that specifies the number of dollars allocated to investments. Also included in the plan may be a significant “cold-turkey” reduction in the consumption of goods and services. More often than not, this “shock planning” and corresponding radical change in lifestyle are so severe that they do not work. The typical UAW, in this case, quickly becomes disenchanted with his new model for wealth building. Soon he “falls off the wagon,” once again breaking his promise of planning, investing more, and consuming less.

Many UAWs think that a professionally prepared plan will make them PAWs overnight, but even the best financial plans are ineffective if you don’t follow them. All too often UAWs think that others “can lose weight” for them.

The UAWs in such cases would greatly benefit from understanding how PAWs operate. PAWs do a little planning each and every month. Again, only about eight hours a month. UAWs might do more planning if they knew that it would not require them to “quit their day jobs”! PAWs build wealth slowly. They do not live a spartan existence, but they do have a regimen when it comes to balancing working, planning, investing, and consuming.

YOUR TIME IS YOUR OWN

The work factor is an important part of understanding the differences between PAWs and UAWs. Note in our study of middle-income respondents the percentage (59.1 versus 24.7) of PAWs versus UAWs who are self-employed (see Table 3-5). In this study, self-employment correlated significantly with planning investments. Overall, the self-employed spend more time planning their investment strategies than those who work for others. The self-employed, even those with middle incomes, typically integrate investment planning into their work lives. Most employees, in sharp contrast, have a set of job-related tasks that are independent of planning their investment strategies. Why is this so?

Those who succeed among the ranks of the self-employed never take their economic position for granted. Most middle-aged people who are self-employed have seen good as well as bad economic times. They tend to offset the inevitable changes in their revenue by planning and